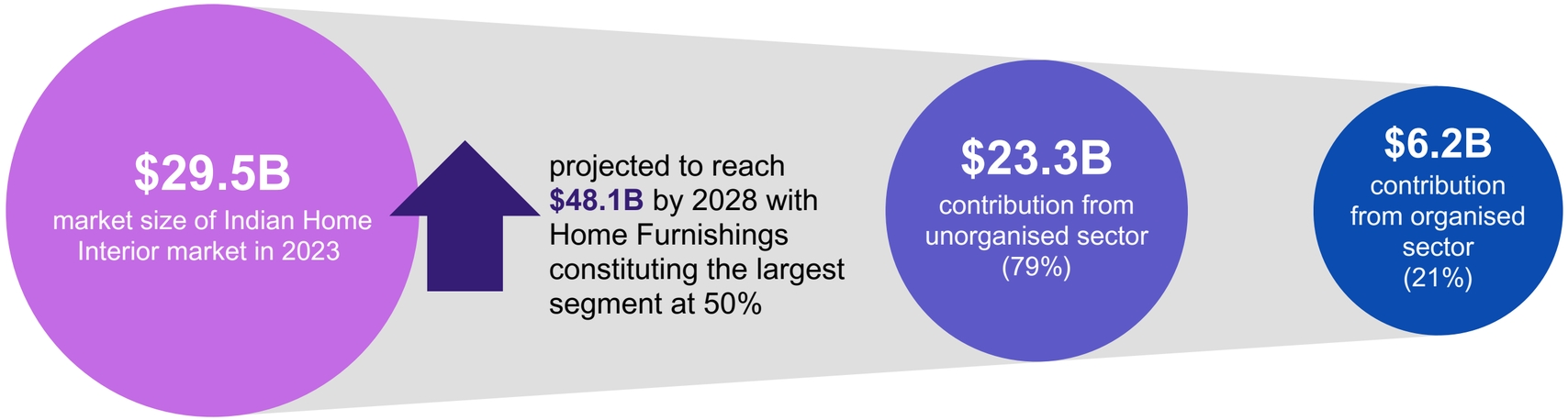
asianpaints

CANVAS 2024

Endless possibilities realised!



Industry outlook



11.4% CAGR estimated growth of **Static Sector for '23-28P**

10.79% CAGR estimated growth of **Dynamic Segment**

Sources: Praxis Global Alliance, ET

Fastest Growing Segments

Clientele
Commercial Clients

New/Renovation
New Owners

Region
South

Budget
Budget-conscious

Source: P&S Intelligence

Industry Trends

Role of Influencers
A/IDs and Social Media Influencers.

Sustainability
Organic fabrics, natural weaves in home furnishing, natural and reclaimed wood in furniture, ethical sourcing.

Emergence of Luxury Brands
The past 2 years saw increased competition due to global brands entering the market and local players strengthening their game.

Source: ET

Growth Drivers

Time Spent at Home
Post-covid hybrid work models

Growth in Real Estate Market
Estimated $1.72B in 2019 to $9.30B in 2040

Increase in Disposable Income
Per capita disposable income grew **8%** in FY24

Increased Comfort in Online Shopping
Inclusion of tier-2 and tier-3 cities

Reduced Gestation Period
Decreased makeover cycles

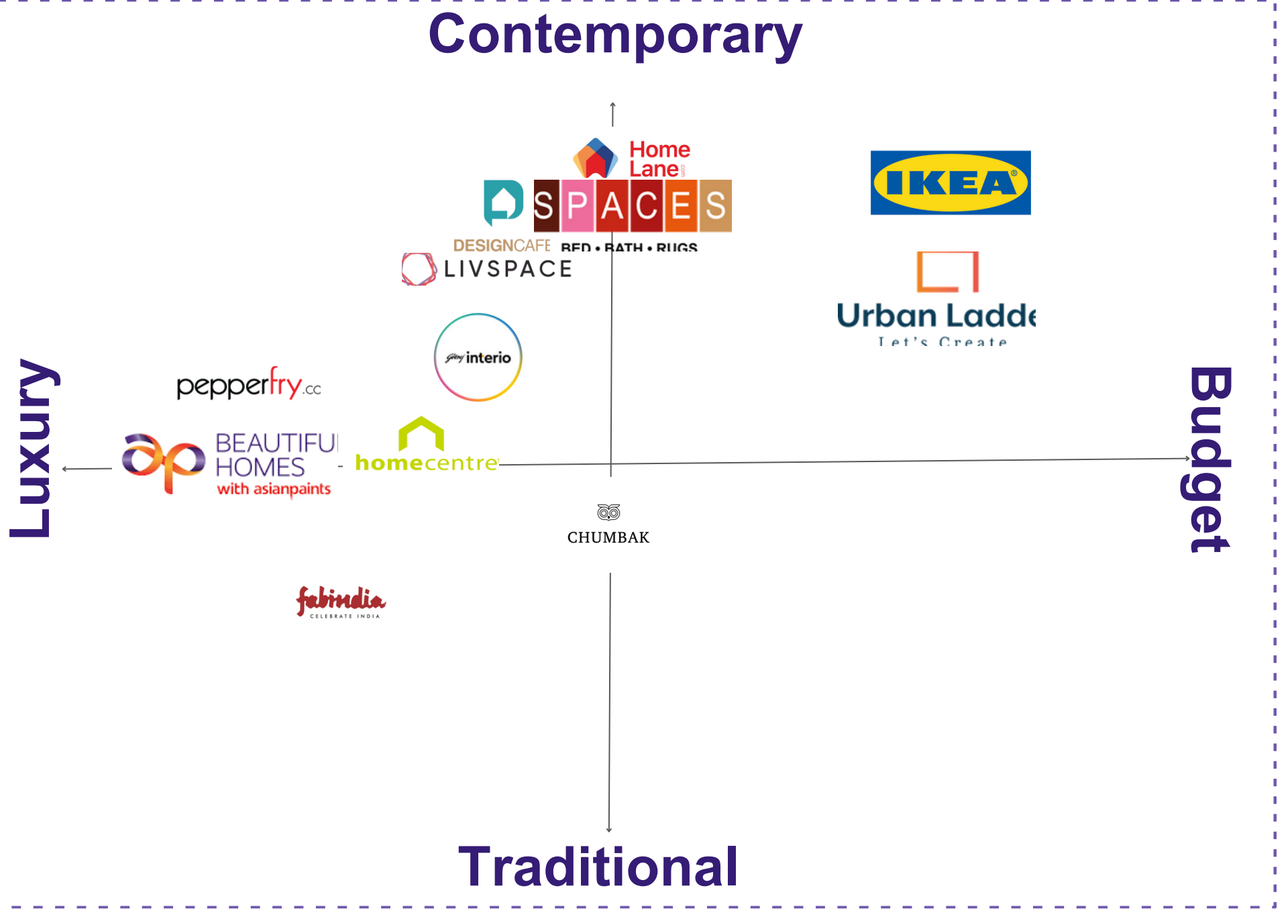
Competitive Landscape

Need and Discovery | Research and Design | Purchase and delivery | Post Purchase | Service and subscription | Community Engagement

- **IKEA** — Pinterest boards with description about different products
- **wayfair** — AI powered interior home decor design solution
- **IKEA** — Online/Offline Visit stores
- **IKEA** — Booking installation slots online on the website
- **coway** — 7-step mattress care service available with quarterly and yearly plans
- **IKEA** — Facebook/Instagram In-app community to facilitate experience sharing for customers

Consumer Journey	BEAUTIFUL HOMES with asianpaints		interio	pepperfry	IKEA
Need & Discovery	✗	✓	✓	✓	✓
Research & Design	✓	✓	✓	✗	✓
Purchase and Delivery	✓	✓	✓	✓	✓
Post-Purchase	✓	✓	✓	✓	✓
Service and Subscription	✓	✗	✓	✗	✗
Community Engagement	✗	✗	✗	✗	✓

✗ Inactive or low presence ✓ Active or strong presence



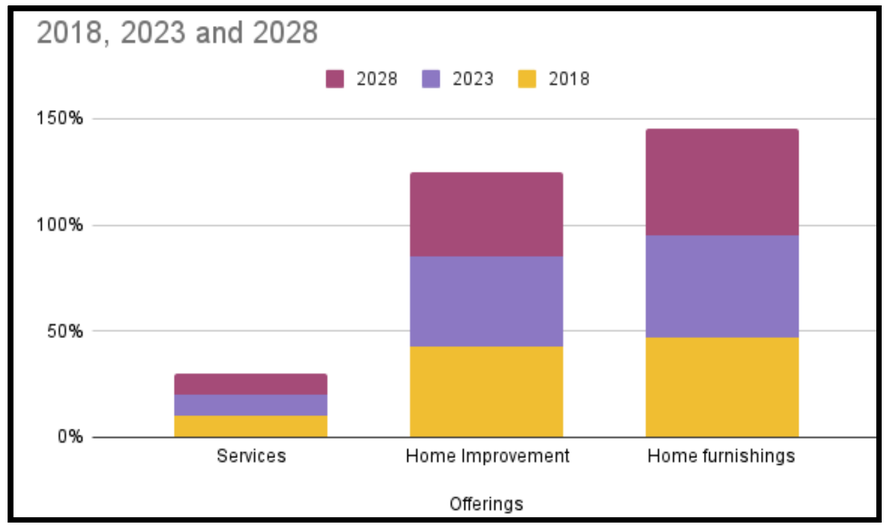
Consumer Insights

Interior Designers - Insights

I also need them delivered on time. My clients expect quick turnarounds

At the end of the day what's important is what the client wants, quality and quick delivery

Growth segments



11.4% CAGR estimated growth of **Home Furnishing** for '23-28P

9.8% CAGR estimated growth of **Services**

Majority of Customers prefer Smart Homes/Technology Integration and Sustainable Materials

Source: https://www.ijfmr.com/papers/2024/2/17817.pdf

Consumer Decision Criteria

- Cost of Services
- Design Style & Aesthetics
- A/ID's Experience & Portfolio

Contemporary/Modern Designs	Traditional
~60%	~47%

Customer Insights

I need to know they're worth the money. What makes these pieces stand out?

I wanted to complete my renovation in about 15 days, but the timeline they provided did not align with what I was expecting.

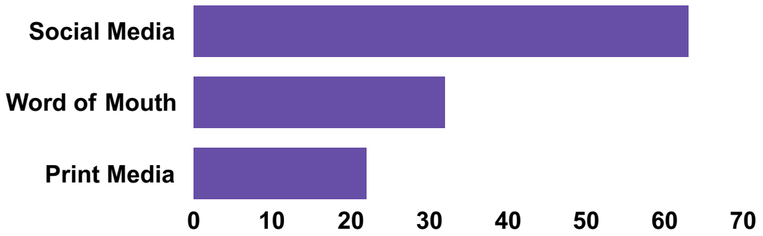
I just discovered that Asian Paints has a service called Beautiful Homes offering complete design solutions! I could really use some help with my first home

I need some help to see how the new decor items will look with what I already have at home and maybe some new addition such as wallpapers, since I'm planning to design it myself

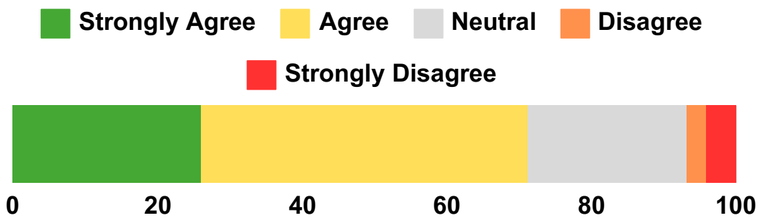
Consumer Insights

Findings from Survey

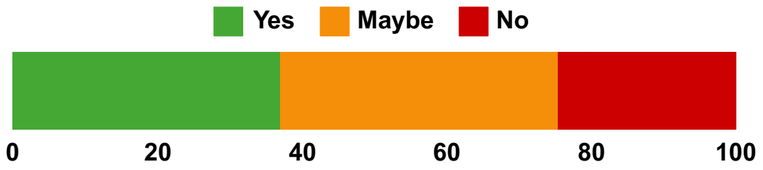
How do you typically find inspiration for Home Decor?



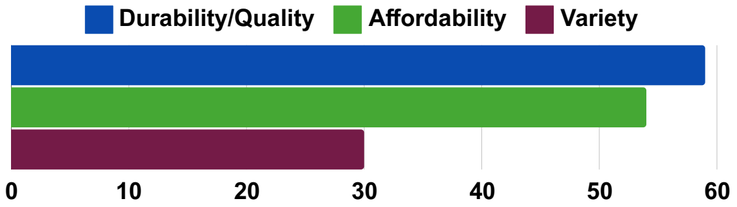
Do you agree that integration of a 360° Virtual Tour using AR/VR technology would make your shopping experience more enjoyable?



Would you be willing to join an online community to discuss Home Decor and Interior Design ideas with A/IDs and other consumers?

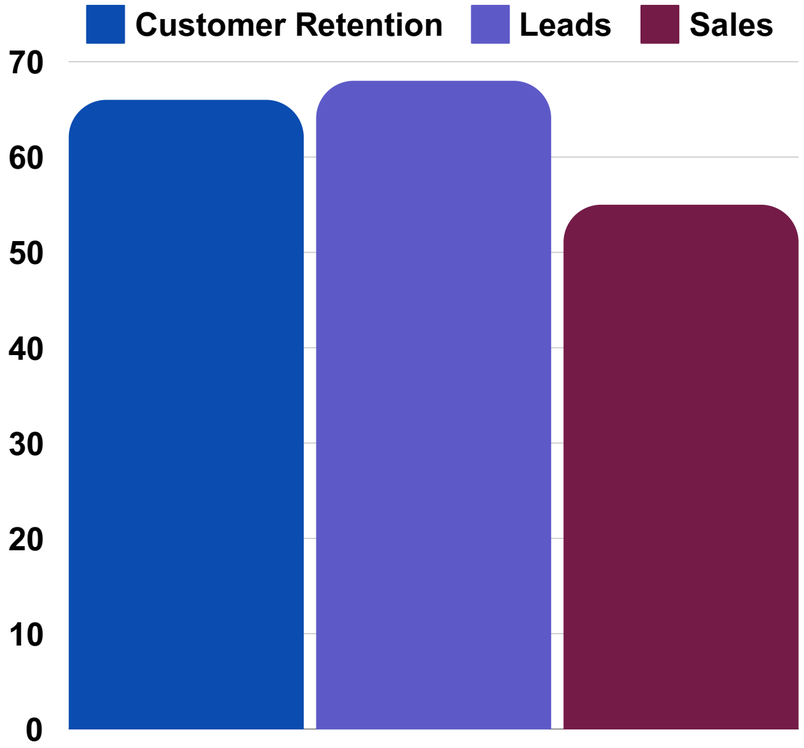


What factors do you consider while purchasing Home Decor?



Other Findings

Benefits of Branded Community Forums:



According to Helpjuice, a survey showed that businesses with branded community forums saw an increase in the above three KPI's.

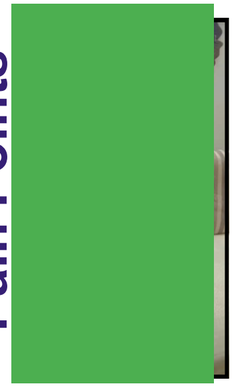
Consumer Journey

The Modern Consumer Experiences a Phygital Journey

	Need & Inspiration	Research	Purchase	Post-Purchase
Online	Discovery through online channels like Instagram, Pinterest, etc.	Browsing through online catalogues and customer reviews	Purchase decision prompted by convenience and ability to shop from anywhere	Includes order tracking, customer service, returns, and posting reviews
Offline	Visiting physical stores, showrooms, and exposure to offline advertisements	Physical comparison of products - quality, material, size, etc.	Purchase decision based on trust and security gained through consultation	Option between delivery and in-store pickup; word-of-mouth; maintenance and repurchase

! Multiple journeys are possible through various cross-connections, one has been shown for reference

Pain Points



I can tell if I like a design when I see it but I find it hard to convey exactly what I want without visual aids



There were two salespersons in the store who gave different opinions which really confused me!

I wanted to buy a bed but logistics became a problem considering the size of the item

After the product was delivered to me, I realised it did not fit the dimensions of my room

Beautiful Homes' Design Hub

A mobile app for all things Decor, by Asian Paints

New Beautiful Homes ecosystem

- BH website
- BH Decor services
- BH stores
- \+
- ***BH Design Hub***

Current Gaps:
- Low Discoverability of Dynamic Decor products
- Doesn't cater to initial customer journey
- Missing user engagement on website

Benefits For consumers:
- Convenience
- Personalisation
- Visualisation
- Community

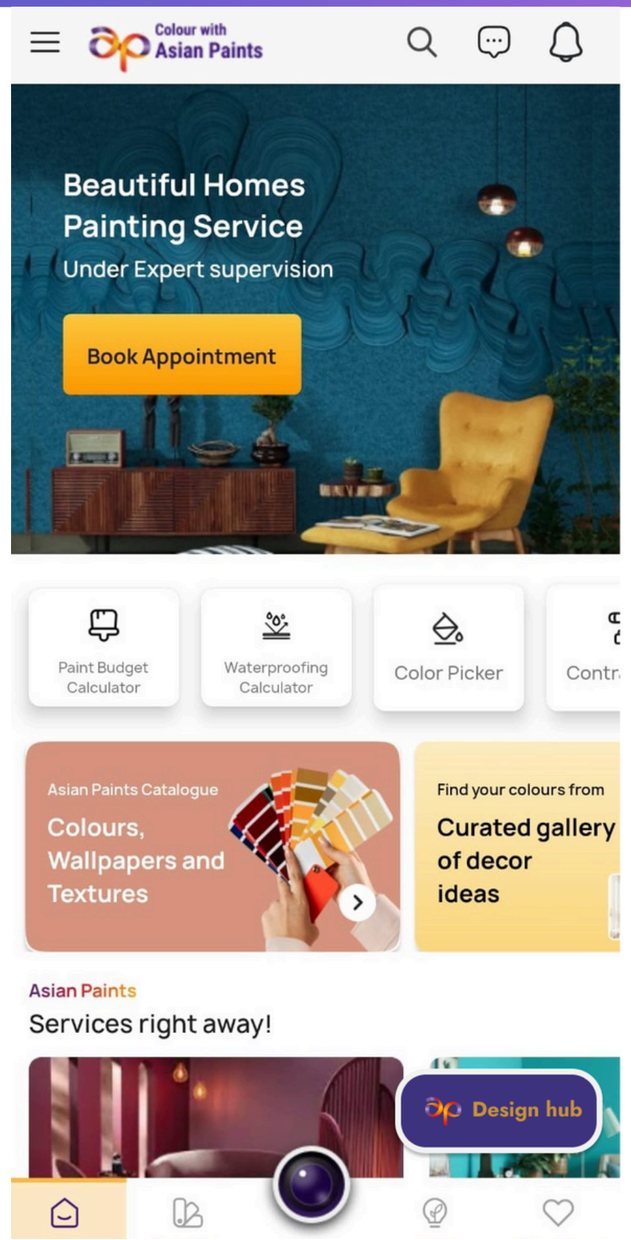
Benefits For Asian Paints:
- Channel to drive leads
- Cross-selling opportunity
- Customer data
- More engagement, less churn

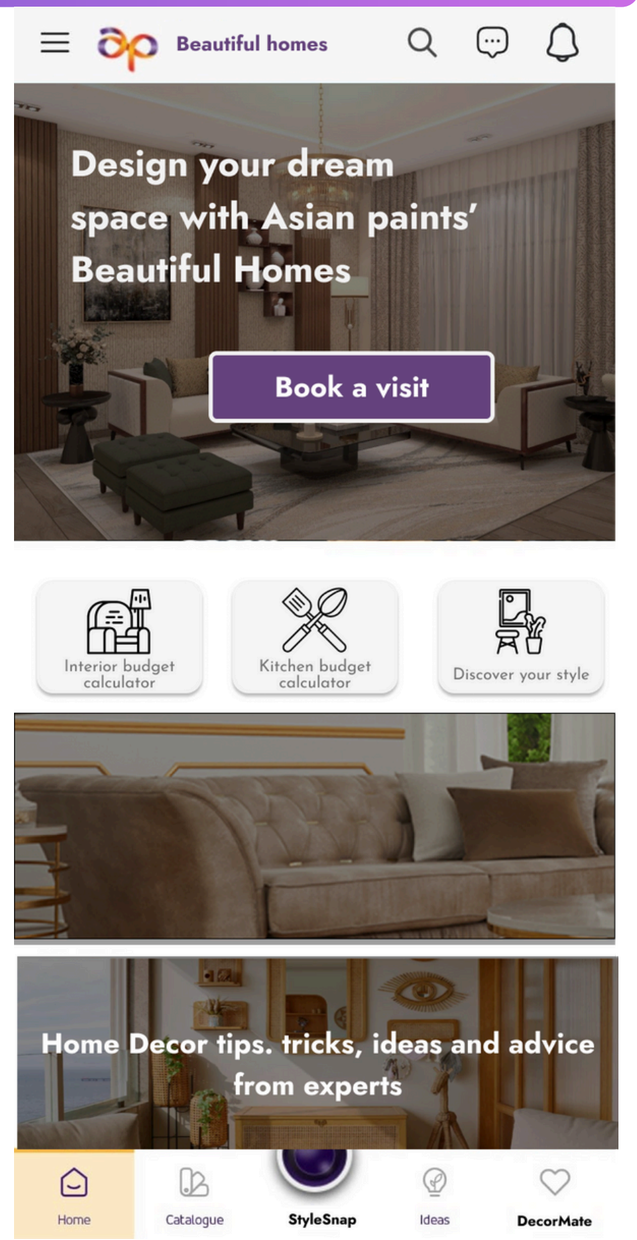
COLOR with Asian Paints app has had **50L+** downloads since 6 years of launch

→ **~ 8L** in one year

→ Assuming 50% of these would download DesignHub

→ **4L+** downloads can be expected in one year





The app will also be accessible through the existing 'Colour with Asian Paints app - on home screen and through color picker as well.

Solution 2

Caters to UJ steps 1 and 2

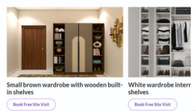
Visualisation tool(in-app) - StyleSnap

WHO?
The target group

- Customers looking for small-scale upgrades (interested in individual decor items)
- DIY Decor enthusiasts
- Mobile-first consumers

WHY?
Rationale

Current Design inspirations

- 

BH website: Not personalised enough
- Other channels: fragmented, endless browsing
- Can't be visualised in own space

StyleSnap - AI-powered tool that provides decor consumers with

personalisation + visualisation + decor inspiration

HOW?

User input : Photo of the space (panoramic/static) + other customisations (theme/ mood/ budget/ minimalism scale)

Output: AI-generated decorated view of the space with decor products from BH catalogue

Other features: Embedded links of each product; CTA to bring the decor to life by visiting store; CTA to book consultation call with AID

BENEFITS TO BH

- Opportunities to cross-sell
- CTA can increase leads + footfalls in BH stores
- Avenue for targeted advertisements

KPIs to track

Recommendation CTR : *(No. of clicks on AI-generated product recommendations / No. of impressions) * 100*

StyleSnap usage frequency: *(No. of times app is used in a time period/ No. of times StyleSnap is used in same time period) * 100*

No. of 1:1 bookings through CTA : No. of times the lead came through StyleSnap link

Assuming 10% of downloads are monthly active users

↓

Total MAU - **40K**

↓

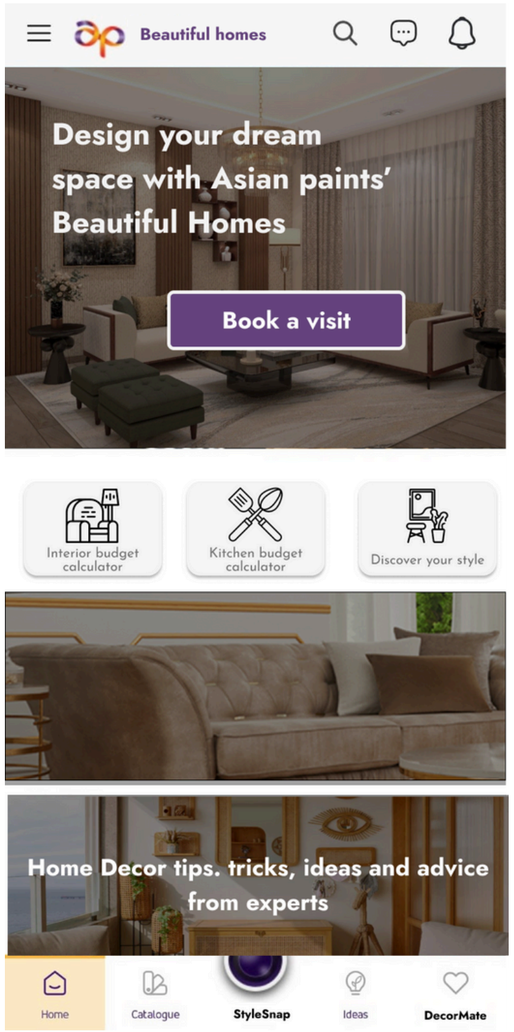
Assuming a **5% conversion rate** through StyleSnap

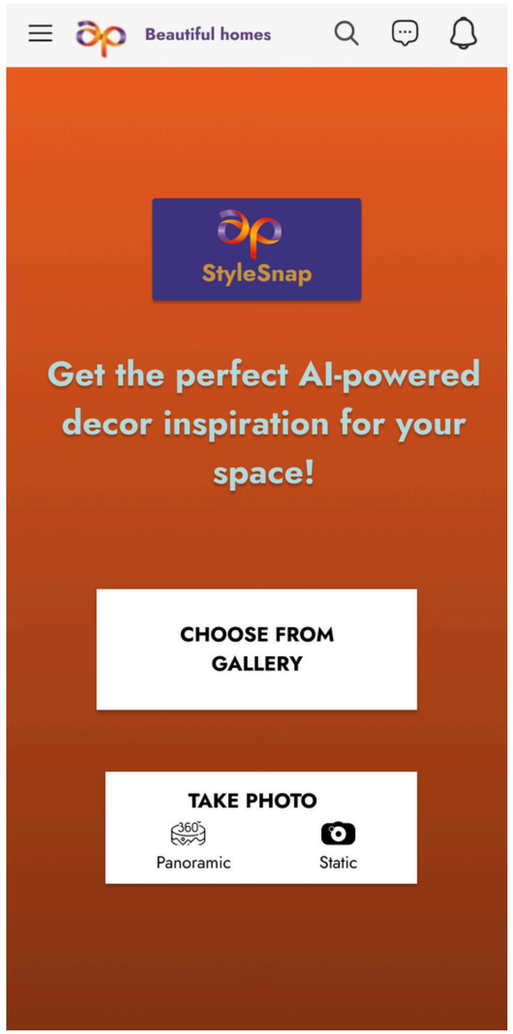
Assuming **AOV of 30,000**

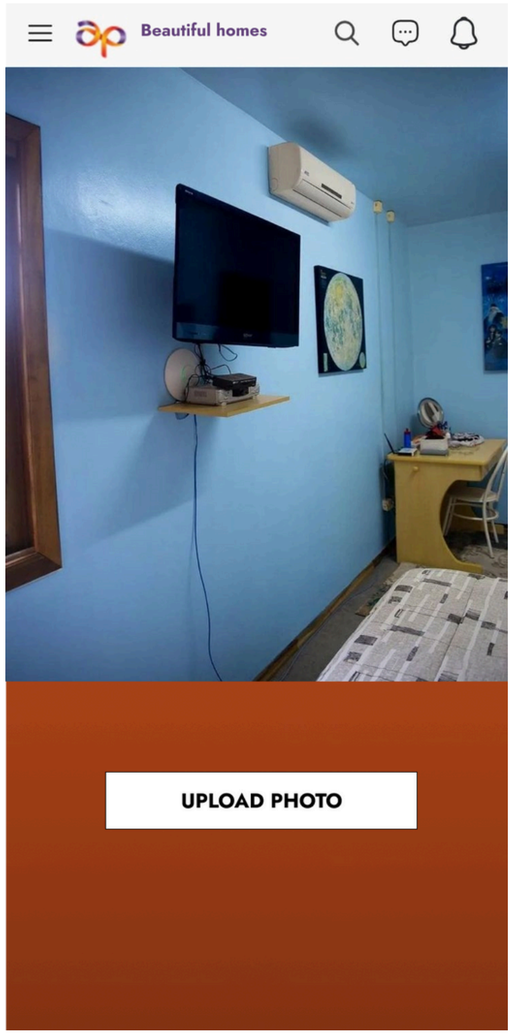
Assuming purchase frequency- twice a year

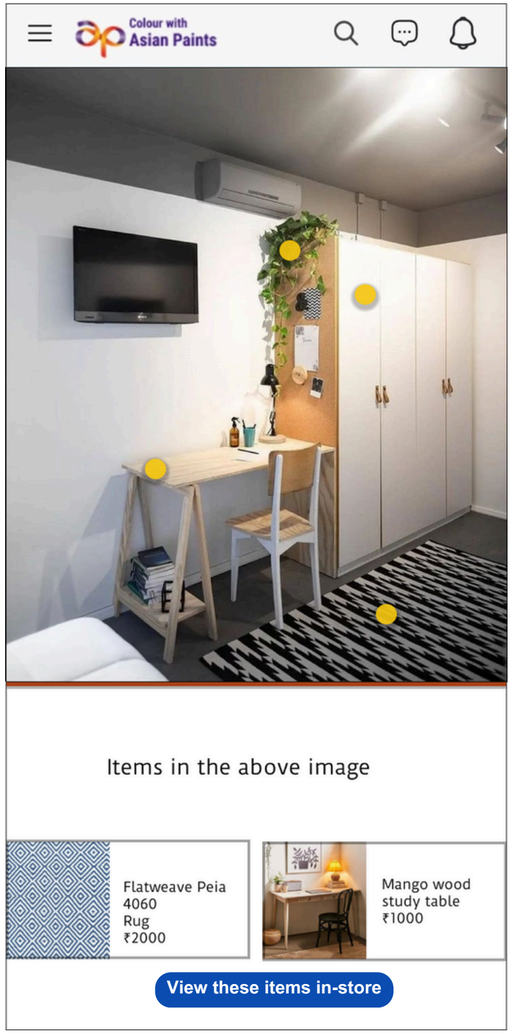
12Cr+
Revenue generated

Visualisation tool(in-app) - StyleSnap









DecorMate - A Vibrant Network of Designers/Freelancers

A budding but fragmented segment of freelancers, DIY decorators and designers who create content - can be leveraged

KPIs to track

For Creators

Portfolio engagement Rate : (Total engagement/ Total portfolio views) * 100

Conversion to consultation rate : (Total consultation requests received/ Total content views) * 100

For Asian Paints

Monthly active users

Increase in store visits through DecorMate: (Store visits through DecorMate leads/ Total Decormate users) * 100

DecorMate

A platform to build a vibrant community of designers and decor enthusiasts to bring together insights, creative inspiration and decor opportunities in one place

Creators

DecorMate allows AIDs/ freelance interior designers/ decor content creators to :

- Showcase their projects/ makeovers/ concept portfolios
- Upload ideas, inspirations

What is it there for Creators?

- Freelance IDs gain exposure, audience, project opportunities
- Network opportunities with relevant stakeholders
- Collab opportunities with BHS
- Verified Badges for certified AIDs

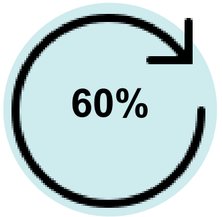
Consumers

For homeowners/ decor users, DIY enthusiasts

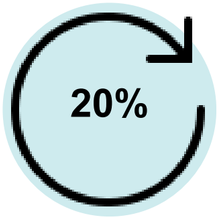
- **Ideas:** Curated inspiration hubs
- **Choice**: Opportunity to get personalised decor consultation after exploring on their own
- **Engagement:** Save ideas, follow designers, DIY challenges etc.
- User-generated content

Benefits for Asian Paints

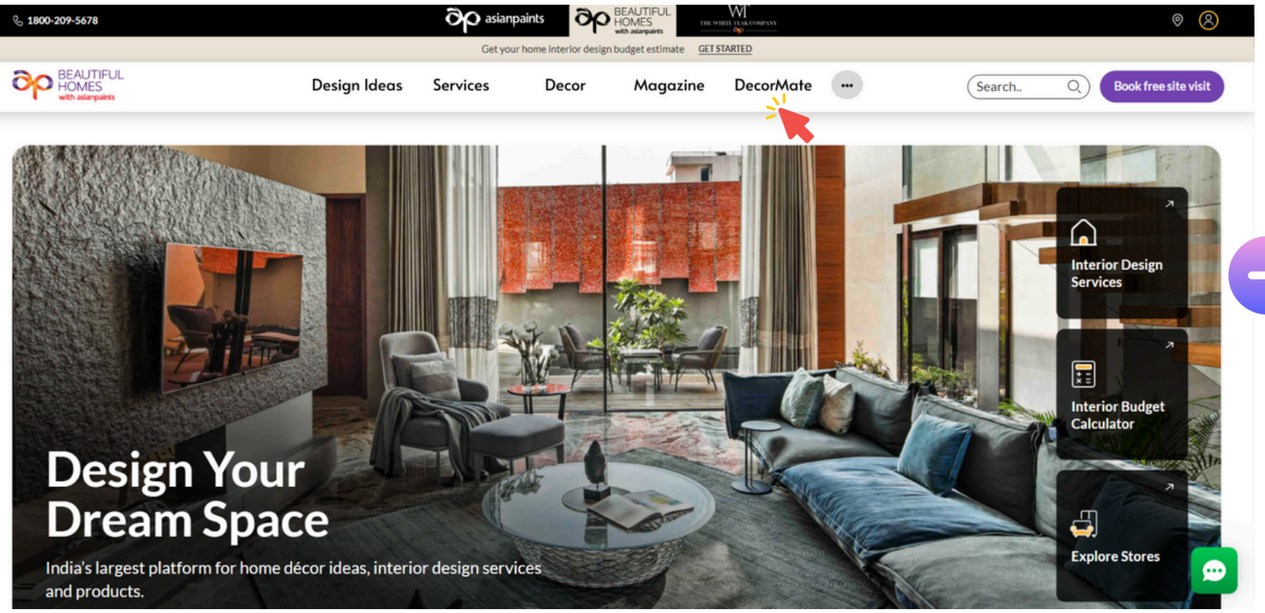
- Marketplace integration of Asian Paints products in design ideas
- Increased brand presence among people looking for Decor
- Customer profiling by sentiment analysis and activity; lead generation



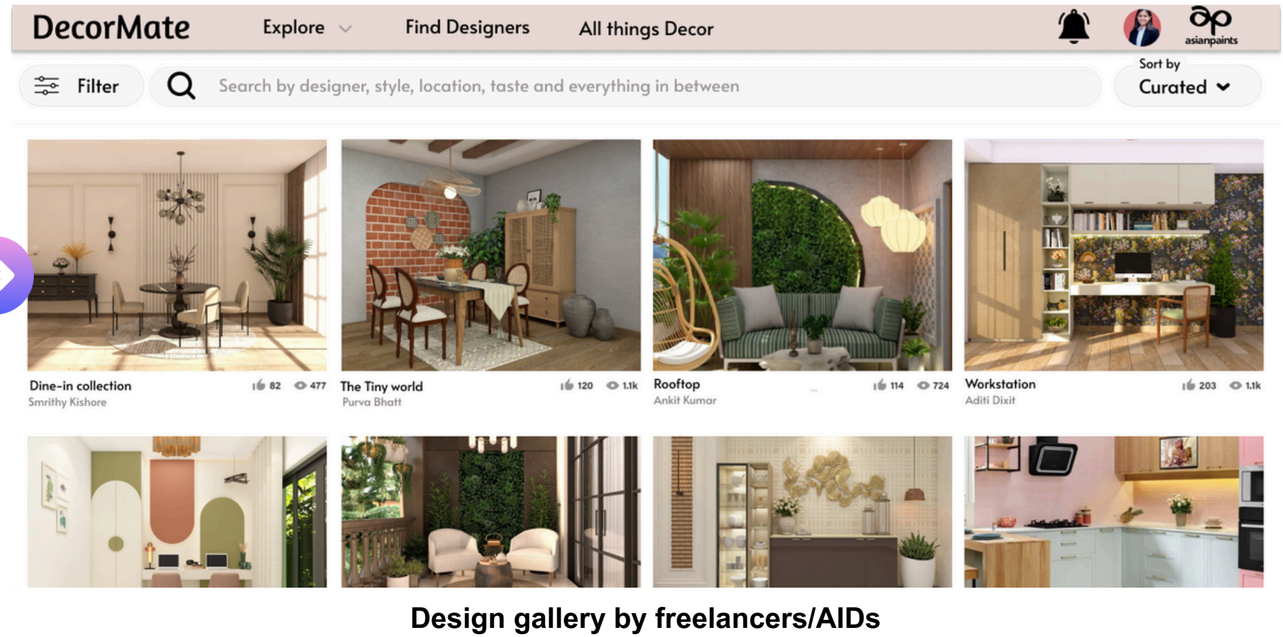
Community-driven platforms have been shown to increase customer loyalty by up to 60%



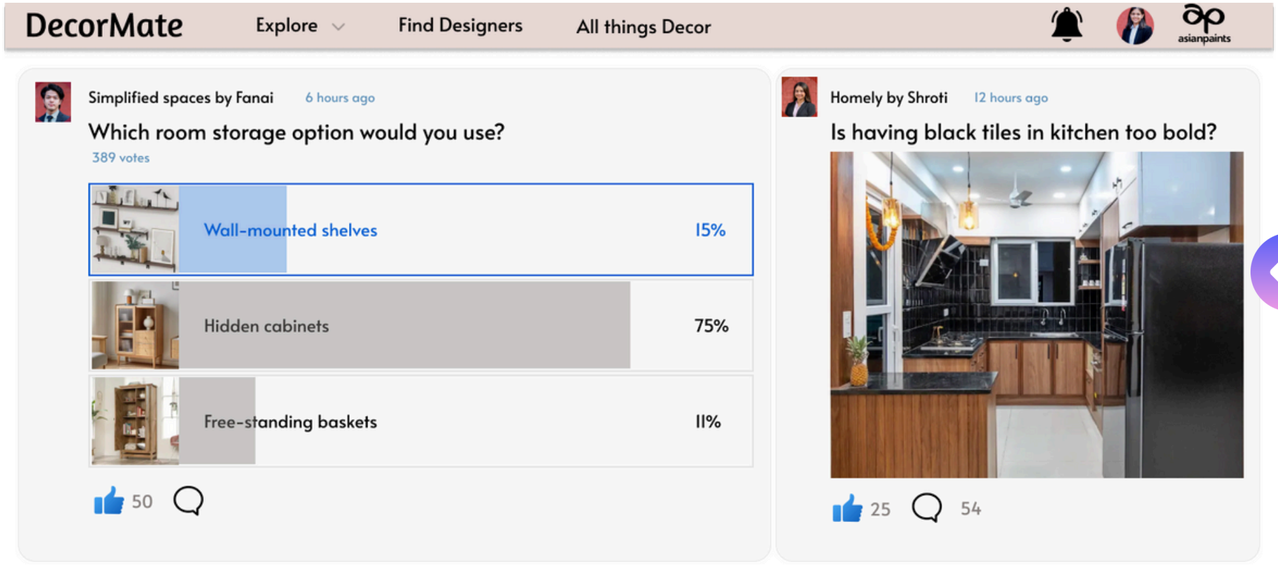
Research shows that companies using sentiment analysis can improve customer satisfaction rates by up to 20%



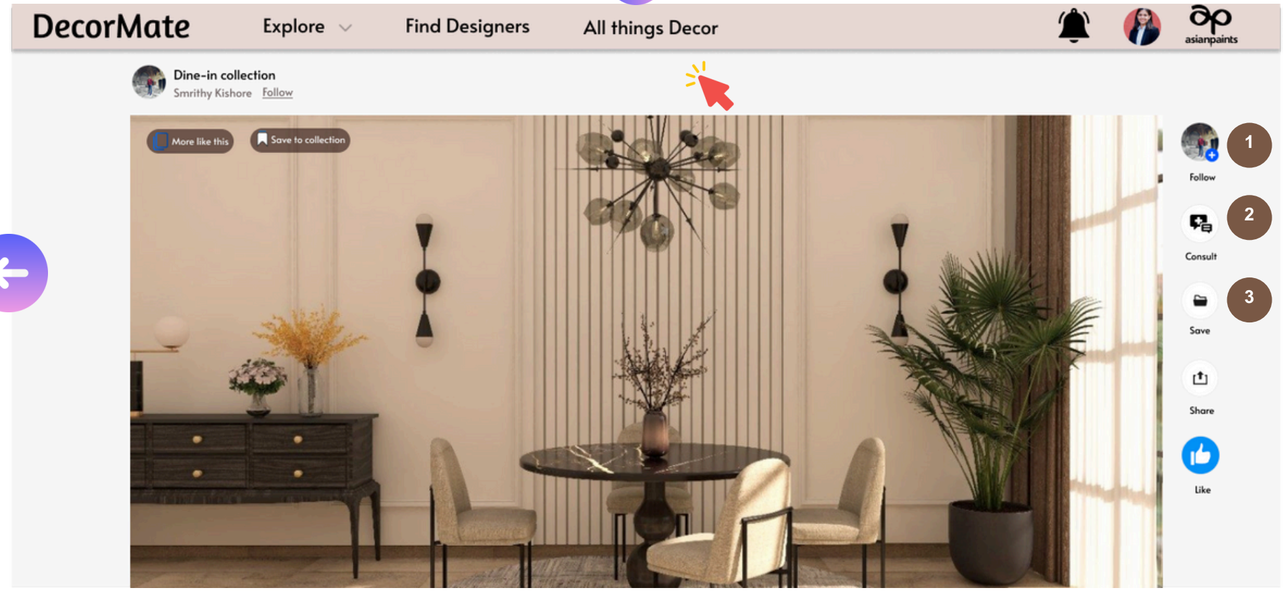
DecorMate accessible from Asian Paints' home menu



Design gallery by freelancers/AIDs



A community forum to openly discuss decor ideas/ publish decor content



Design gallery by freelancers/AIDs

1. Users can follow the freelancers/AIDs

2. Users can send a consultation request

3. Users can save ideas to their collection

Key Insights From Store Visits

Beautiful Homes, Ashok Vihar-Delhi

There is a need to shift consumer perception towards Asian Paints as a provider of end-to-end home decor solutions.

Need for a centralized system- CRM for Beautiful Homes which can personalize interactions based on previous purchases or inquiries.

80% BH sales come through A/ID leads and referrals who are managed by Relationship Officers.

The digital kiosks currently have limited features and require proper maintenance. They should also display ongoing promotions and allow customers to enroll in loyalty programs through the kiosks.

There may be insufficient follow-up or support after the purchase, which could affect customer satisfaction and loyalty.

Consumer perception

60% Consumers perceive Asian Paints primarily as a paint company

Source:Nielson

40% Associate it with comprehensive home decor solutions

50% Interactive kiosks can increase customer engagement by up to 50%

Source: Forrester Research

Omnichannel Strategy

Unified Customer Data	Personalized Experiences	Seamless Channel Transitions	Omnichannel Marketing	Upsell and Cross-sell strategies	Customer Journey Mapping
Customer Insights through DecorMate	Tailored Suggestions to Individual Customers	Enable Customers to Move Between Channels	Push Marketing during peak season	Drive Additional Sales Through Complementary Products	Create visual maps outlining customer interactions
Integrate CRM with Sentiment Analysis	Utilize Personalized Email Campaigns	Provide In-Store Pickup Options for Online Orders	Coordinate Demos and Advertising on Multiple Platforms	Analyze Customer Data for Cross-Sell Opportunities	Make them aware about Ongoing referral and loyalty programs
Use DecorMate to gather feedback and preferences	Send targeted emails based on past purchases	Customers can order online and pick up in-store	Launch campaigns promoting workshops through social media	Suggest complementary decor items when buying paint	Sign them up for survey (in case of pre-purchase)
Impact: High	Impact: High	Impact: Medium-High	Impact: High	Impact: High	Impact: Medium-High

Increasing Footfall Into the BH Stores

1. **Define the Program Structure**
   - Referral Incentives: Decide on the rewards for both referrers (existing customers) and referees (new customers). Discounts (e.g., 10% off their next purchase)
     - Gift vouchers for store products
     - Exclusive access to events or workshops
2. **Create a Simple Process for Referrals**
   - Referral Mechanism: Steps:
     - A referral link sent via email or SMS
     - A dedicated section on the Beautiful Homes website or app where customers can input their friends' details
     - Physical referral cards available in-store that customers can hand out
3. **Promote the Referral Program**
   - Launch marketing campaigns to inform existing customers about the referral program.
   - Use:Email newsletters, Social media posts, In-store signage and announcements
4. **Train Staff on the Program**
   - Ensure that store staff are well-informed about the referral program so they can explain it to customers and encourage participation.
5. **Monitor and Evaluate the Program**

   Track Performance Metrics: KPIs

   -Number of referrals generated -Conversion rate of referred customers

   -Overall increase in foot traffic and sales during the program period
6. **Adjust and Optimize**
   - Based on performance metrics and feedback, make necessary adjustments

Objectives

- **Increase Footfalls** — ~80% of consumers are willing to refer friends and family
- **Enhance Customer Loyalty** — Members of loyalty programs are ~60% more likely to make a purchase than non-members
- **Boost Sales** — Increase in % through new customer acquisition



Seasonal promotions and events that increase referral rewards during peak seasons

HOW?

- Direct Mail Campaigns
- Collab with local Influencers

Assuming 1000 existing customers across all stores → Participants (80%) = 800 participants → Each participant refers an average of 2 people= 1600 new potential customers → Expected Store Visits from Referrals (30%) = 480 new visitors → AOV= 3 Lakhs → ~14.4 Cr. (1st Year)

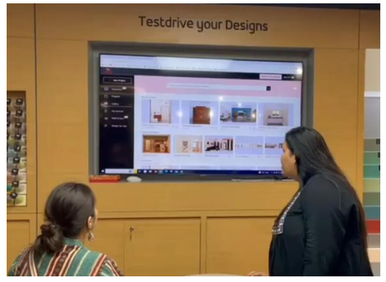
Source: Deloitte

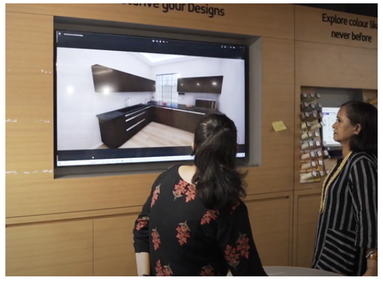
Source: Annex Cloud, Survey by Bond brand loyalty

Leveraging Team and Tech to Increase Conversion

Foyr

AP Beautiful Homes Stores currently uses **Foyr Neo** for their **3D Visualiser** technology.
Additionally, **AP Beautiful Homes Service** also leverages this software to to provide clients with an end-to-end experience including interior design, project management, and execution.





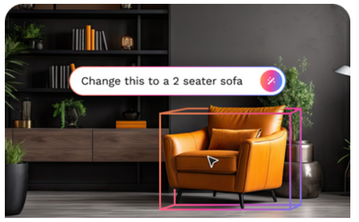
Planning For Tomorrow: Foyr Ideate - AI-powered Interior Design



Text-to-Design



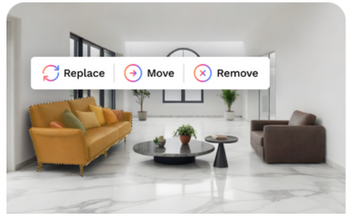
Easy Customisation



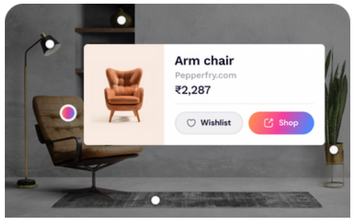
Virtual Makeover



Quick & Easy Design



3D View



Easy Shopping

Source: Foyr

Steps for Seamless Transition

1 Product Integration

Data Collection: Gather data on products from both the store and service portfolios.
Product Upload: Ensuring the AI platform can only recommend items available in the company's portfolio.
API Integration: Integration of product databases and inventory systems for real-time recommendations and availability updates.

2 Customising & Testing

AI Training: Customise AI model to prioritise specific styles, preferences, and products aligned with AP's brand.
User Testing: Test the AI with various room designs and customer profiles to ensure accuracy and functionality.

3 Training

Tech Training: Train the design and sales teams to use the AI tool effectively.
Customer Interaction: Teach staff how to guide customers through the AI design process.

4 Customer Experience

User-Friendly Interface: Ensure the platform has a user-friendly interface for both employees and customers.

5 Mktg & Comm.

Promote AI Capabilities: Communicate AI tool's features to customers, highlighting the benefits of personalised, fast design services.
Demonstration Areas: In-store demo areas where customers can try out the AI tool with guidance from staff.

6 Monitor & Improve

Collect Feedback: Feedback from customers and employees on tool's performance & user experience.
Regular Updates: Work with Foyr to regularly update and optimise the tool based on feedback and changes in product portfolio.

7 Legal & Compliance

Data Privacy: Ensure compliance with data protection laws, esp. if AI uses customer data for recommendations.
Vendor Agreements: Establish clear agreements with Foyr on data handling, service updates, and support.

Increasing Leads & Aiding Conversion for BHS

Increasing Awareness

- SEO Optimization
- Pay-Per-Click (PPC) Ads
- Influencer Marketing
- Event Marketing
- Pop-Up Stores
- Home Makeover Series

Generating Leads

Primary Source: DecorMate

Interactive Features
- "Design My Room" tool or virtual consultations requiring users to submit contact details

Lead Magnets
- Downloadable content or discount codes in exchange for contact details

Social Media Contests
- Run contests on social media for a chance to win a free consultation or makeover

Referral Program
- Existing customers can refer friends and family in exchange for rewards, increasing the customer base

Increasing Conversions

Personalised Newsletter
- CRM tools to send personalised emails or SMS reminders to leads, based on their previous inquiries and sentiment analysis on DecorMate.

Live Chat & AI Assistance
- Live chat support & AI-driven design tools on the website for real-time engagement.

Exclusive Discounts and Offers
- Limited-time offers for specific design packages, creating a sense of urgency.

Free Consultations
- Offer free first consultations or home visits, reducing the barrier to entry for new clients to engage with the service.

Mitigating challenges in design to execution décor services

Stakeholders Involved and how digital tools will help!



Consumers

Challenges

- Misalignment of expectations with the final outcome.
- Difficulty in understanding product options and suitability.
- Limited post-execution support.

Solutions

A consumer uploads a photo of their living room, and Stylesnap suggests paint colors, furniture styles, and decor items that complement the existing space.

A customer uses Decor Mate's AR feature to visualize how a new paint/furniture/light looks on their walls, helping them make an informed choice.



Store Staff & Dealers

Challenges

- Lack of product knowledge or training jeopardises customer interactions.
- Communication gaps between staff and management regarding inventory and service offerings
- Difficulty in managing inquiries and follow-ups efficiently

Solutions

Staff members review the most commonly requested styles on StyleSnap, allowing them to better assist customers looking for similar designs.

A staff member uses DecorMate's database to find info on a specific decor item that a customer is interested in, streamlining the interaction.



A/IDs

Challenges

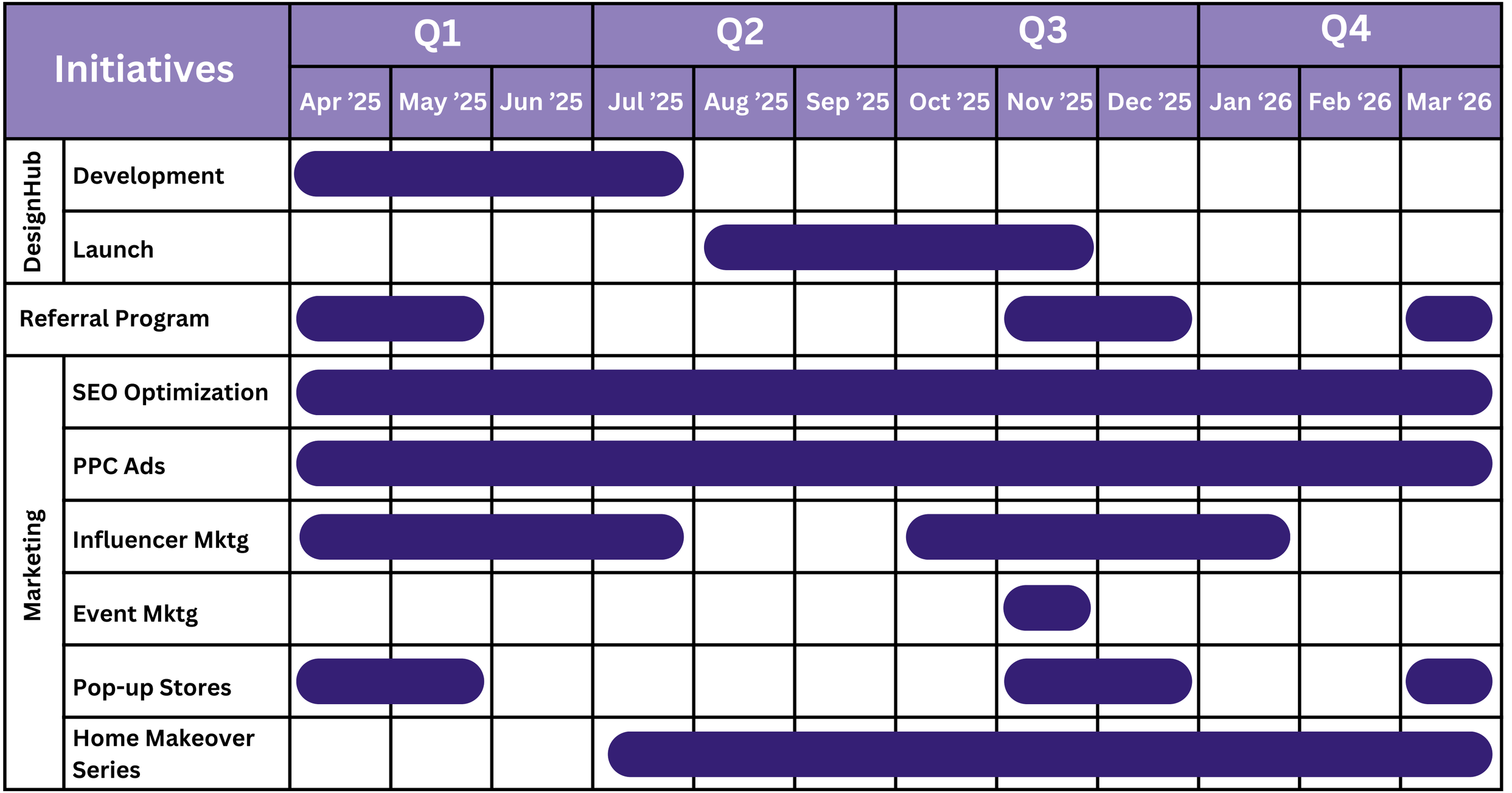
- Difficulty in accessing timely info about new products or services from AP.
- Coordination issues when managing large projects that involve multiple stakeholders.
- Limited support for troubleshooting issues during execution.

Solutions

An interior designer receives notifications through Decor Mate about new eco-friendly paint options that they can recommend to clients looking for sustainable solutions.

An architect creates a mood board using Stylesnap that includes paint colors, textures, and furniture styles for a client presentation, ensuring alignment on design choices.

Roadmap


Initiatives
Q1
Q2
Q3
Q4
Apr ’25
May ’25
Jun ’25
Jul ’25
Aug ’25
Sep ’25
Oct ’25
Nov ’25
Dec ’25
Jan ‘26
Feb ‘26
Mar ‘26
DesignHub
Development
Launch
Referral Program
Marketing
SEO Optimization
PPC Ads
Influencer Mktg
Event Mktg
Pop-up Stores
Home Makeover Series

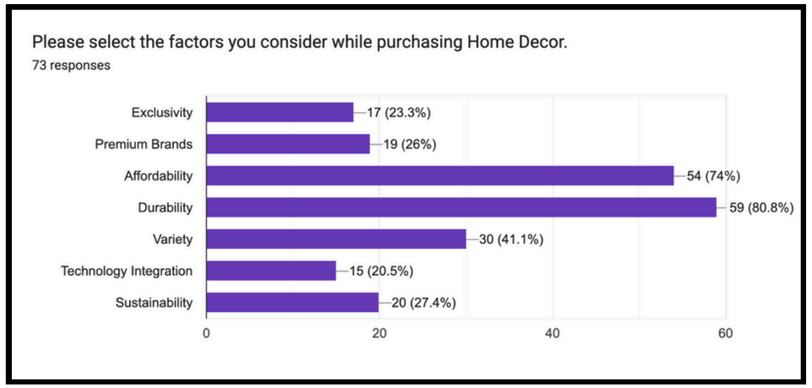
Q&A with Jury

Annexure

Research Methodology

Sample Questions

1) Please select the factors you consider while purchasing Home Decor



- Exclusivity
- Premium Brands
- Affordability
- Durability
- Variety
- Tech Integration
- Sustainability

2) What factors influence your decision to start home decor projects?

- Seasonal Trends
- Renovation Needs
- New House
- Lifestyle Upgrade

3) Which online platforms do you use to research home decor products?

4) Do you agree that integration of a 360° Virtual Tour using AR/VR technology would make your shopping experience more enjoyable?

Annexure

Research Methodology

Sample Questions

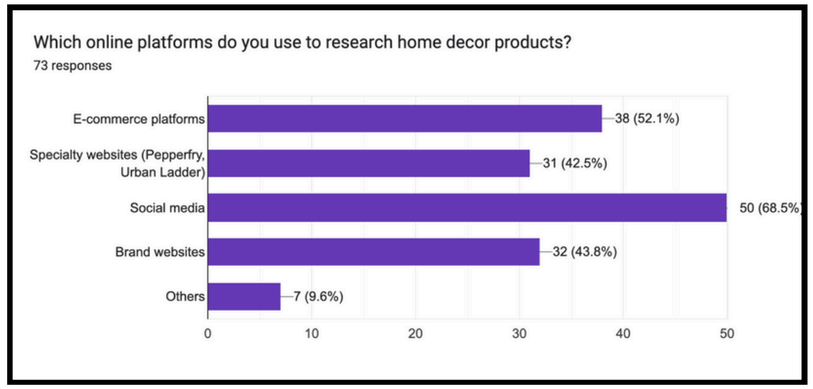
5) What type of personalized experiences would you find most valuable? Which will help you make informed decisions?

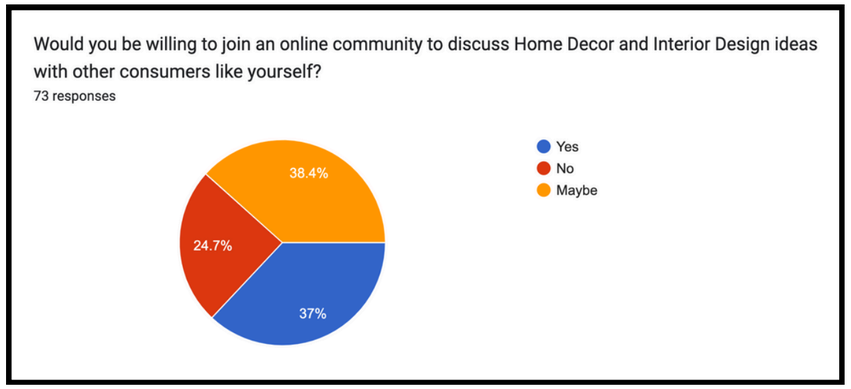
6) Which Home Decor Products do you think best complement the colour of your walls?

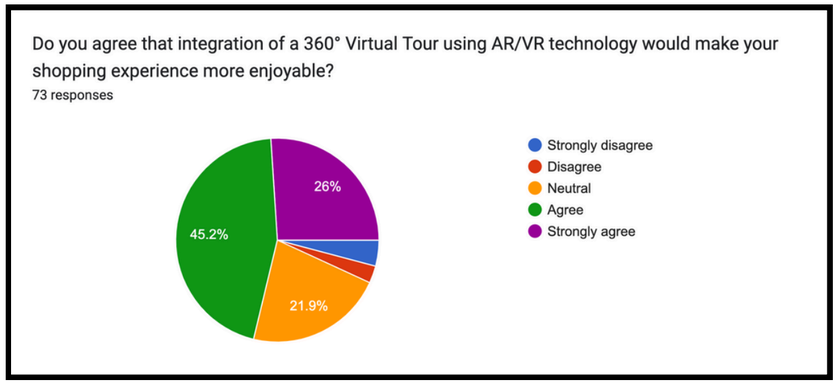
7) Would you be willing to join an online community to discuss Home Decor and Interior Design ideas with other consumers like yourself?

8) Would you be interested in connecting with architects or interior designers who specialize in your preferred style and budget? (Based on your input in the online community)

9) What aspect of post-purchase support is most important to you?







Annexure

Category	Questions
Staff Members	
Customer Discovery	1. How do customers typically find out about our store? 2. What marketing channels do you think are most effective in attracting foot traffic? 3. Can you estimate the average number of customers visiting the store weekly?
Lead Conversion	1. What percentage of visitors make a purchase or inquire about services? 2. What strategies do you use to convert inquiries into sales?
Cross-Selling and Upselling	1. How often do you suggest complementary products to customers? 2. What products do you find are most commonly cross-sold or upsold?
Increasing Leads	1. What initiatives have been successful in generating new leads? 2. Are there any specific promotions that have increased customer interest?
Challenges	1. What challenges do you face in engaging customers effectively? 2. How do you handle customer objections during the sales process?
Interior Designers	
Customer Discovery	1. How do your clients typically discover home decor stores like ours? 2. What platforms do you recommend for showcasing decor trends?
Lead Conversion	1. What factors influence your clients' decision to choose a particular decor provider? 2. How can we improve our offerings to help you convert leads into projects?
Cross-Selling and Upselling	1. Do you often recommend additional products or services to your clients? If so, which ones? 2. How can we support you in offering a more comprehensive package to your clients?
Increasing Leads	1. What marketing strategies have worked best for you in attracting new clients? 2. Are there specific events or collaborations that could help increase leads for both parties?
Challenges	1. What common obstacles do you face when working with decor suppliers? 2. How can we better support you in overcoming these challenges?
End Consumers (Potential and Future Customers)	
Customer Discovery	1. How did you first hear about our store or services? 2. What online platforms do you use to find home decor inspiration?
Footfall Average Estimates	1. How often do you visit home decor stores? 2. What factors influence your decision to visit a store in person versus shopping online?
Lead Conversion	1. What encourages you to make a purchase when visiting a decor store? 2. Have you ever left without buying? If so, why?
Cross-Selling and Upselling	1. Are there any products or services that would encourage you to spend more during your visit? 2. Do you appreciate recommendations for additional items? Why or why not?
Increasing Leads	1. What types of promotions or events would motivate you to visit our store more often? 2. Are there any specific services or products that would attract your attention?
Challenges	1. What difficulties do you encounter when shopping for home decor? 2. How can we improve your shopping experience?

Annexure

Traffic & Engagement

Total visits

Jun 2024 - Aug 2024 Worldwide

Domain	%	#
livspace.com		4.549M
beautifulhomes.asianpai...		858,413
pepperfry.com		8.540M
ikea.in		120,447

Source: SimilarWeb

Annexure

Engagement

Metric	livspace.com	beautifulhomes.asianpa...	pepperfry.com	ikea.in
Monthly visits	1.516M	286,138	**2.846M**	40,149
Monthly unique visitors	895,008	191,932	**1.539M**	20,306
Visits / Unique visitors	1.69	1.49	1.85	**1.98**
Visit duration	00:01:31	00:02:51	**00:03:23**	00:01:31
Pages per visit	3.75	2.07	**4.50**	1.20
Bounce rate	69.34%	60.39%	**40.11%**	84.69%
Page Views	5.691M	593,180	**12.82M**	48,348

Source: SimilarWeb

Annexure



Source: SimilarWeb

Annexure

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